Financial cash flows

Cash flow from assets **= Cash flow to creditors + Cash flow to stockholders**

Cash flow from assets = OCF – Net Capital Spending – Change in NWC

Where,

OCF = EBIT + Dep – Taxes

Net Capital Spending = Earning Net fixed Assets – Beginning Net Fixed Assets + Dep

Change in NWC = Ending NWC – beginning NWC

Cash flow to creditors = Interest paid – Net new borrowing

Cash flow to stock holders = Dividends paid – Net new Equity raised

Earnings per Share = Net Income / Total share outstanding

Dividend per Share = Dividend / Total Share Outstanding

Ratios

Current Ratio = Current Assets / Current Liabilities

Quick Ratio = Current Assets – Inventory / Current Liabilities

Cash Ratio = Cash/ Current Liabilities

Total Debt Ratio = Total Assets – Total Equity / Total Assets

Debt-Equity Ratio = Total Debt / Total Equity

Equity Multiplier = 1 + Debt-Equity Ratio

Interest Coverage Ratio = EBIT / Interest

Cash Coverage Ratio = EBIT + Dep / Interest

Inventory Turnover Ratio = COGS / Inventory

Days sales in Inventory = 365 Days / Inventory Turnover

Receivable Turnover = Sales / Account Receivables

Days sales in Receivable = 365 Days / Receivable Turnover

Payables in Turnover = COGS / Account Payables

Total Assets Turnover = Sales / Total Assets

Capital Intensity Ratio = Total Assets / Sales

Profit margin ratio = Net Income / Sales

ROA	= Net Income / Total Assets
ROE	= Net Income / Total Equity
EPS	= Net Income / Shares Outstanding
P.E	= Price Per share / EPS
Book Value	= Total Equity / Nos. Share Outstanding
Market to Book Ratio	= Market Value per Share / Book Value per Share
ROE	= Net Income / Assets * Assets / Total Equity
ROE	= Net Income / Assets * Sales / Assets * Assets / Total Equity
ROE	= profit margin * total assets turnover * equity multiplier
Dividend Payout Ratio	= Cash Dividends / Net Income
Retention Ratio	= Retained Earnings / Net Income
Internal Growth Rate	= ROA * b / 1-(ROA*b)
Sustainable Growth Rate	= ROE * b / 1-(ROE*b)

Time Value Of money Concept

Simple Interest = P * R * T

Where
P =Principal Amount
R = Interest Rate
T = Time Periods (Years)
I = Simple Interest

FV (Simple)	= P (1 + rt)
FV (Compound)	= $C0\times (1 + r)^{t}$
PV (Simple)	= FV/ (1+rt)
PV (Compound)	= $C*1/ (1+r)^{t}$
PV (Annuity)	= $C * \{1-1/ (1+r)^{t}\} / r$
FV (Annuity)	= C * {(1+r) t-1} / r
Annuity due value	= Ordinary Annuity Value X (1 + R)
Bond Value	= $C * \{1-1/ (1+R)^{t}\} / R + F/ (1+R)^{t}$
Fisher effect(R)	=R + H + R * H

Cash Flows ($P_{0)}$ $=D1 / (1+R)^1 + D2 / (1+R)^2 + D3 / (1+R)^3$

Zero Growth Stocks (P) $=D/R$

Constant Growth Stock ($D_{t)}$ $= D0 \text{ X } (1 + G)^t$

Dividend Growth Model ($P_{0)}$ $= D1 / (R – G)$

Required Return $= D1/P0 + G$

AAR = Average Net Income / Average Book Value

NPV $= 0 = -100+100 / (1+IRR)$

PI = Cash Flow / Project Cost

OCF $= (\text{Sales} – \text{Costs}) \text{ X } (1 – T) + \text{Dep. X } T$

Dividend Yield = Dividend / Beginning Price ·

Capital Gains Yield = (Ending Price – Beginning Price) / Beginning Price ·

Total Percentage Return = Dividend Yield + Capital Gains Yield

Percentage Return = Dividend Yield + Capital Gain Yield

Variance $= (R1-R)^2 + ... + (R_t-R)^2 / (T-1)$

Standard Deviation $= \sqrt{}$Value

R = E(R) + Systematic Portion (M) + Unsystematic Portion (E)

R = E(R) + U Where U Is the Surprise Component

Cost Of Equity $= D1 / R_e\text{-}G, D1/P_0 + g$

Capital Structure $= 100\% = E/V + D/V$

WACC $= E/V * R_e + D/V * R_d * (1\text{-}Tc)$

Operating Cycle = Inventory Period + Accounts Receivable Period

Cash Cycle = Operating Cycle – Accounts Payable Period

Float = Firm’s Available Balance – Firm’s Book Balance

Total Carrying Costs = Avg. Inventory × Carrying Costs per Unit = (Q/2) × CC

Total Restocking Costs = Fixed Costs per Order × Number of Orders = F × (T/Q)

Total Costs = Carrying Costs + Restocking Costs = (Q/2) × CC + F × (T/Q)

Carrying Costs = Restocking Costs (Q*/2) × Cc = F × (T/Q*)

EOQ $= (2T \text{ X } F / CC)^{1/2}$